

Week Three Assignment, Econ 238, Fall 2026

THIS WEEK'S WORK

As with COLOSSUS, you will submit your supporting work on Blackboard and publish a finished piece on your GitHub portfolio. Your public piece should make sense to an intelligent person who has never taken this class or seen this assignment.

On Blackboard, submit one PDF containing:

- Your individual EETT Brainstorm Log #1.
- Brief, numbered answers to Questions 1–6 about Potter's article. Answer every question, including its follow-up prompts. Strong short answers are welcome; padding/AI slop is not.
- Your analysis of the NEPA changes in Question 7, with source links.
- A copy of the written synthesis accompanying your public recording, with sources.
- The specific URL for your Week Three GitHub page and a direct link to the recording. Put these at the top of the PDF and paste the GitHub page URL into your Blackboard submission.

On GitHub, publish one Week Three page containing:

- A title and brief introduction explaining the issue to someone outside this class.
- Your recorded conversation and analysis addressing Questions 8–9.
- Your written synthesis and source links.

Link this page from your portfolio homepage. Make sure the recording plays and that visitors can access it without requesting permission. Questions 8–9 are answered through the recording and written synthesis; you do not need to submit another set of written answers to those questions.

The vaccination Research exercise and the final Response/Review Questions do not require a submission this week.

How we will evaluate this: Your public recording and synthesis are the primary things being evaluated. Your supporting work helps us assess your understanding, preparation, and engagement. We will rely on the other submitted work to support an assessment, so it must be submitted. This assignment requires solid core EWOT application and evidence you engaged considerably with the actual

readings, and of course using your own assessment, thoughts, judgment, etc. We are not seeking sycophantic agreement, not knee jerk disagreement.

Your individual EETT checkpoint also affects this week's grade. A substantive, good-faith checkpoint meets expectations; an especially strong one can raise the overall score by one point, while a missing or perfunctory one lowers it by one point. We are looking for evidence that you are actually working.

EETT Brainstorm Log #1

This is the first of two EETT project (part one of the interview project) check-ins that are to **be completed and submitted individually** even though we are expecting groups to be in contact with one another.

Describe the topic that your EETT is likely to focus on, and the nature of the conversation you had with your group (characterize the tone, tenor, enthusiasm, familiarity, engagement level, honestly).

Then, please write a short argument or illustration of 150 words or less that illustrates an aspect of your EETT topic that was *unfamiliar to you* before you engaged the conversation or that is just generally not part of the "typical" engagement on that topic. You can define "engagement" as popular news, what other coursework may cover, what is on social media or comedy shows or popular podcasts.

Describe the institutional/economic context that would be essential to have a better grip on the question. For example, in office hours discussions last week we casually asked whether eBikes should be permitted on the Erie Canal towpath. And we then asked if we do forbid them, that opens up correlated questions like why do we ban eBikes but allow racing bicyclists to hit speeds of over 40mph on the canal? Some of the institutional context there would suggest that we need to ask, "Who owns the canal path?" at least as one of the starting points for appreciating the nature of the conflict. Additional economic context may include observations like, "well, if we forbade eBikes on the canal path, then eBikers might go on sidewalks, etc." In other words, provide context and discuss/make a simple observation about incentives, behavior, tradeoffs, agents and constraints.

Then, comment on **at least one idea** that was bandied about in your group discussion. Commenting means something different than "I liked it, I disagreed with it, I agreed with it ... " Use Analysis! Every time you describe a fact, article, or policy, describe what it might mean as an economics student trying to weigh the

costs and benefits. Example: “According to a U of R campus email, colleges are investing more in building bike-only transportation paths on campuses.”

A simple analytic question/insight: “This implies a reallocation of campus space from cars/athletic facilities/dorms/coffee shops, etc/ to bikes. An economist would ask: How does this affect marginal congestion costs, emissions reductions per dollar, and opportunity costs of land use? Or how does this impact our ability to invest in other sustainability initiatives. Does this improve our ability to recruit and retain students? Etc. ”

Make sure your short response demonstrates your original thought and reflection. We are asking you to do this not only to get the group projects rolling early and the groups making progress, we are also trying to avoid GroupThink setting in.

NOTE: Aim for about 250 words for the entire individual log. Within that, keep the argument or illustration of your unfamiliar insight to 150 words or less. Address the topic, your group’s conversation, the relevant institutional/economic context, and one idea you can analyze. Submit this on Blackboard only, so you can be candid about the group conversation.

RESEARCH (we are not going to evaluate this section in our evaluation this week, we present it for interest, and also suspect it might just be ChatGPTed, so, well, just enjoy it. We may ask about it in future homeworks)

Four Candles or Fork Handles?

Part A: Suppose that out of 1 million children, 99% get vaccinated against smallpox and 1% of their parents choose not to vaccinate them. Suppose that if a child is vaccinated, he or she has one chance in one hundred of developing an adverse reaction, and among those with the reaction, there is one chance in one hundred of it being fatal.

On the other hand, vaccinated children have no chance of developing smallpox. Meanwhile, if a child is not vaccinated, he or she obviously has zero chance of developing a reaction to the vaccine, but suppose he or she has one chance in fifty of developing smallpox.

Finally, let us assume that smallpox is fatal in one out of five cases. If you are making the decision exclusively on behalf of the life expectancy of your child, given this data, would vaccination look like a good idea?

Part B: Given your answer in (a) above, have we provided you with enough “data” for you to make a “utility maximizing” choice in regard to whether it makes sense to vaccinate your child? Or, is it possible that making the “correct” choice from (a) would end up reducing your well-being? Would choosing not to vaccinate in this context make you an “anti-vaxxer”? Explain your answers.

Part C: If you were going to be sympathetic (or demagogic?) to the folks who are worried about vaccines killing children, given the data from the problem above, what data do you think they would be examining, or would news reporters want to be reporting, to demonstrate in fact that vaccines seem to be socially dangerous? All of this is just a tongue-twisted way of me asking, *in a population of a million children, how many people will die from smallpox vaccines and how many people would die from smallpox itself?* Explain the very likely public reaction to the discovery of this data, and how news reporters are likely to report it.

Part D: The key to asking probing questions (i.e. engaging in highest order reasoning), and to move up the intellectual ladder of causal explanations, it is essential that we get used to identifying and asking helpful counterfactual questions. The challenge for counterfactual reasoning is we don’t get to see that world. We don’t get to see the dead bodies of the currently undead, and so on. If you were being lured in by the data in part (c), what is an effective counterfactual question that you would want to ask? How would that question be answered given the probabilities and population sizes that we assumed for this question? (Hint: this is yet another illustration of what we will define as the “tailpipe” problem later in the course – back in Econ 207 we called it the “pants button problem”)

Part E: Now think about the world of today with regard to smallpox. As best as I can tell, the disease is completely eradicated. Imagine we developed a simple test to quickly determine if someone actually has smallpox. This month, we test about 10% of the population. Next month we get up to half, and then the following month, we get the entire population tested. What would have to be true of the test that you have developed if we are to avoid a massive panic and a headline that reads, *“Smallpox cases make a roaring comeback, and are increasing over time?”*

READINGS RESPONSES/REFLECTIONS (This WILL be a major portion of this week's evaluation)

“Growth for the sake of growth is the ideology of the cancer cell, wrote Edward Abbey — but in America today, litigation for the sake of litigation may be the ideology of the lawyer. If Potter shows us how NEPA slows projects, and Doomberg shows us how lawsuits metastasize across the economy, the real question is: can the U.S. still build anything at all?”

In this section we are going to have you consider a couple of articles, and summaries of a couple of books, to deal with the question of what exactly is making it hard for us to build an improved environmental economy – or if we ever can do it.

The National Environmental Policy Act (NEPA)ⁱ

The NEPA was really the first major piece of federal legislation passed in the United States. It was responsible for establishing the Environmental Protection Agency (the EPA), and another major component of the act was that federal agencies have to produce “Environmental Impact Statements” any time they propose a “large” project.

For this section this week, we’d like you to read Brian Potter’s article on [“How NEPA Works.”](#) It’s a real page-turner.

Question 1: Does the filing of an environmental impact statement by a federal project necessarily imply that the project will not have a “negative” environmental impact? Were you aware of this?

Question 2: The article does not address this directly, but can you comment briefly on whether *strictly private companies* must comply with NEPA and file environmental impact statements for large projects they undertake?

Question 3: Not all federal projects that DO have a serious environmental impact necessarily have to file environmental impact statements. Explain how they can “get out of it.” Can you think of how this can be gamed to the detriment of the “environment?” Why might members of a community where these projects will be developed be concerned about this?

Question 4: Given the lengthy time and physical requirements to compose a full-blown Environmental Impact Statement, I would have predicted that the costs of the EIS were large shares of overall project costs. But this turns out not to be the case. What was the estimated share of project costs? In what way might this even be an overstatement? In what way might this be an understatement of the true costs?

Question 5: Use some insights from this article to offer up a prediction on what you think the prospects for a speedy transition to a “clean energy economy.” Note in your answer I am hoping you address both “speedy” and “clean.”

Question 6: It appears that the NEPA, even if not repealable, is ripe to have its process updated so that project approvals can be sped up. What is one challenge to the process moving more quickly?

Question 7: In February of last year, it seems like the government responded in part to the concerns addressed by Potter in his article when it issued an interim final rule regarding CEQ regulations. In April, the CEQ officially rescinded all of its NEPA implementation regulations. This was done in an effort to streamline the bureaucracy and to enable America to build infrastructure more efficiently and quickly and cheaply include rollouts of clean energy and other climate solutions. The deregulation is instructing all federal agencies to overhaul the NEPA rules.

Note again, NEPA itself was not repealed. Agencies must still examine the environmental consequences of major federal actions, prepare environmental assessments or environmental impact statements when required, disclose their analysis, and remain subject to judicial review. What disappeared was the uniform CEQ regulatory framework specifying how agencies should perform those tasks.

Use ChatGPT to determine exactly what changed and what did not. Then compare those reforms with Brian Potter’s account of how NEPA became expensive, slow, unpredictable, and dominated by the effort to produce “litigation-proof” documents. Do the reforms address the underlying incentive problem Potter identifies, or merely replace one complicated regulatory regime with dozens of agency-specific ones?

Finally, consider the political economy of permitting reform. Environmental groups reasonably worry that weaker procedures could conceal genuine environmental damage or reduce meaningful public participation. But the same procedural weapons can delay transmission lines, nuclear reactors, geothermal projects, renewable generation, mines for critical minerals, and other infrastructure required for decarbonization. If environmental reformers oppose

even technology-neutral efforts to reduce these barriers, what realistic path remains for clearing the grid-interconnection backlog and building a cleaner energy system?

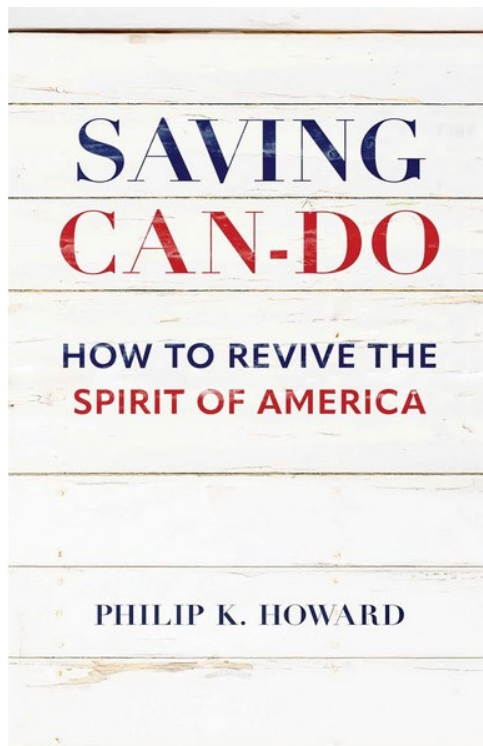
For one possible indication of what faster approvals can enable, consider the emerging advanced-nuclear industry and Aalo Atomics' effort to construct and test the Aalo-X reactor. But be careful about causation: is this evidence of a genuine nuclear renaissance caused by NEPA reform, or merely an early demonstration project benefiting from several regulatory changes at once?

<https://www.nuclearbarbarians.com/p/tickling-the-dragon-ft-matt-loszak>

What to submit for Question 7: In roughly 300–400 words, explain what changed, what did not, and whether the changes address the incentives and sources of delay Potter describes. A compact comparison table is fine. Address the implications for clean-energy construction and the limits of what the nuclear example can establish.

Use ChatGPT as instructed, but check its central factual claims against the underlying sources. Link the sources you actually checked and briefly tell us what you verified or corrected. Submit your own analysis, not a pasted AI conversation. Include this response in your Blackboard PDF and draw on it in your public discussion.

Question 8: Philip K. Howard has a new, short and important book out that sits at the nexus of “we need state capacity” and “abundance is to be promoted, not sackcloth and ashes.”



In the book description, we read:

Replace red tape with responsibility. Let Americans use their judgment. Let other Americans hold them accountable for their results and their values.

In Saving Can-Do, best-selling author Philip K. Howard unlocks the quandary of populist resentment and also of broken government. Nothing works as it should because red tape has strangled common sense. Of course people don't get along—we're not allowed to be ourselves.

The geniuses in the 1960s tried to create a government better than people. Just follow the rules. Or prove that your judgment about someone is fair. But how do you prove who is selfish, or doesn't try hard? Bureaucracy makes people go brain dead—so focused on mindless compliance that they can't solve the problem before them.

...

He concludes the book:

Three major changes are needed to restore the authority to achieve results: a new legal framework, a new institution that can inspire trust in ongoing decisions, and a special commission to design the details of these changes.

New legal framework defining official authority.

Here's a sketch of what a new infrastructure decision-making framework might look like:

- 1. Separate agencies should be designated as decision-makers for each category of infrastructure. The head of that agency should have authority to approve permits. For federal approvals, all decisions should be subject to White House oversight. For projects with national or regional significance, federal decisions should preempt state and local approvals.*
- 2. Fifty years of accumulated mandates from multiple agencies should be restated as public goals that can be balanced against other public goals....a recodification commission is needed to reframe thousands of pages of detailed regulatory prescriptions into codes that are goal-oriented and honor public tradeoffs. But until this can happen, Congress should authorize the executive branch to approve permits "notwithstanding provisions of law to the contrary" — provided the executive branch identifies the relevant to provisions and provides a short statement of why the approvals are in the public interest.*
- 3. Processes should be mainly tools for transparency and should be understood by courts as general principles reviewed for abuse of discretion, not as rules requiring strict compliance. NEPA has been effectively rewritten by judicial fiat, so it should be amended to return to its original goals — to provide environmental transparency, public comment, and a political judgment.*
- 4. The jurisdiction of courts must be sharply limited. Lawsuits should be allowed for approvals that transgress boundaries of executive responsibility, not inadequate review of process, unless these are so deficient as to be arbitrary.*

OK, so maybe trying to change laws is wishful thinking. But if we do not create a culture of progress and instead continue to shoot ourselves in the foot, well, we may never progress. And creating NEW institutions that all citizens actually trust, maybe that is even more intractable.

For this part, have a real conversation with a roommate, classmate, friend, parent, or another willing person. Record the conversation and select approximately **6–8 minutes total** for your public submission covering Questions 8–9. You may use excerpts from a longer conversation, provided the selections preserve the conversation's spirit and meaning.

Everyone recorded must know and agree beforehand that the recording will be posted or linked publicly from your GitHub page.

The institutional-trust portion must include genuine back and forth. Ask follow-up questions and explore specific examples. Think about how you, as a developer, politician, citizen, would respond in this environment. Make sure your interlocutor has something to respond to rather than have your analysis be a statement that cannot be built upon. You may continue with that person for Question 9 or finish that portion as a monologue.

Audio is sufficient. We are evaluating the discussion and the economics; elaborate video production and editing are unnecessary. But MAKE SURE THE LEVELS are high enough.

Use the prompts below and in Question 9 to guide the conversation. Cover their major issues, but you do not need to read every subquestion aloud and answer it in sequence (would you want to listen to that yourselves?). Explain enough of the readings that your conversation partner and an outside listener can follow the argument.

The discussion should:

- A) Include a back and forth exploration about are there ANY new institutions in the US whether they be political at the state or local or federal level, or at the popular cultural level, or sports level or some other institution, that Americans in general *across various ideological and class divides*, have all come to trust? If so, what are the characteristics of that institution that seem to make it trustworthy? What role does social media and other modern communication technologies play in establishing and maintaining trust? Is there a scale limitation? (For example, my outdoor hiking and birding forums are EXTREMELY trustworthy and high quality, but then again the population of users is self-selected among enthusiasts, it does cut across politics and other divides because we all share a passion for mountains and trees and birds and that is the core focus, discords and facebook make connecting a lot easier, etc but are there larger more “important” institutions? The National Football League?
- B) As you think about whether or not new institutions exist, comment on what institutions in general are most trusted and what characteristics are most common to them. What can the design of new political and regulatory institutions learn from them? (As I write this I am wondering if the current political actions against the Fed and its independence somehow turn most

of America into supporters of the Fed?)

- C) A former student of mine/ours, Dan Wang, has become an influential scholar of Chinese political economy and culture and has just written an important [and widely celebrated book](#) called *Breakneck*. In that book, he offers a thesis for Why China Has Been Able to Build, and Why It Seems Like the US is Incapable of Even Tying Its Shoes. I asked ChatGPT to offer a summary (with some cajoling) for you:

China as an “engineering state”

Wang portrays China as a nation governed by engineers—its top leaders (e.g., Xi Jinping, Hu Jintao, Jiang Zemin) were all trained in engineering disciplines—which drives a governance style centered on rapid construction, experimentation, and long-range projects.

U.S. as a “lawyerly society”

By contrast, the U.S. is characterized by its legalistic culture: many politicians are lawyers, and governance is dominated by process, litigation, and regulation, which slows down decision-making and physical development.

(MJR: note this sounds all bad, but it is not)

Why It Matters

China’s speed

The engineering mindset enables China to undertake mega-projects with remarkable efficiency—building high-speed rail systems, renewable energy infrastructure, and expansive urban developments at a breakneck pace.

American gridlock

In the U.S., even projects approved by voters—like California’s high-speed rail—face decades of delays and ballooning costs due to procedural complexity, regulatory hurdles, and political fragmentation.

Illustrative Examples

Guizhou’s infrastructure marvels

In sprawling but impoverished regions such as Guizhou province, China has built towering bridges and highways that Western countries struggle to execute.

(MJR: remember, my town cannot build a 4 lane highway bridge in less than two years in a moderately populated part of one of the richest states in the history of the world)

High-speed rail contrast

China built a Beijing–Shanghai high-speed rail line soon after 2008; it carried 1.4 billion passengers in its first decade. Meanwhile, California’s equivalent rail project lags behind with high costs and delayed timelines.

(MJR: you know what I think of this)

The Trade-offs and Ironies

Authoritarian efficiency versus human costs

The same engineering mentality that delivers infrastructure also enabled rigid social-control policies like the one-child policy and zero-COVID lockdowns. These initiatives, while technically exceptional, had profound human and ethical repercussions.

Lawyerly restraint versus innovation stagnation

While legalistic governance may protect rights and avoid authoritarian overreach, it often impedes innovation, infrastructure investment, and rapid response.

Wang’s Prescriptions & Reflections

For the U.S.:

Wang suggests reclaiming its engineering roots—bolstering infrastructure, rebuilding manufacturing capacity, and adopting more outcome-based governance.

For China:

He argues that embracing pluralism, legal protections, and procedural safeguards could temper its technocratic excesses.

Seeking balance:

Wang proposes neither model is ideal on its own. The better path forward blends engineering efficiency with legal safeguards and democratic resilience. As he puts it: "For the US to be 20 percent more engineering, and for China to be 50 percent more lawyerly."

Engineering governance yields speed, scale, and physical transformation—but risks social rigidity and rights violations. Lawyerly governance protects rule of law—but can paralyze innovation and infrastructure. Wang's plea? Learn from both: the U.S. needs engineering pragmatism, and China needs a dose of procedural justice.

So, Part (C) Obviously it is enormously difficult to change culture and politics – but consider – is it *inevitable* that after a country grows it develops into a more lawyerly and sclerotic bureaucratic state? Do we “need” to build faster? Why? Or Why Not?

D) What other insights would you like to add?

Question 9: I have pasted in, at the back of the assignment, a paywalled article from Doomberg called Label Makers. In essence, and I think it is sobering, “Litigation for the sake of litigation is the ideology of the sclerosis cell.”

Maybe we are dealing far less with environmental concerns than we are with deeply systemic clogging:

- 35,000 new law grads vs. 600 petroleum engineers.
- Some reviews of Wang's book softly criticize it for lacking empirical support. But that Doomberg piece seems to prove that we have chosen the lawyerly path to ruin.

So, continue on with your discussion (this you can do a monologue on or you can involve your interlocutor) and address:

A) Doomberg vs Potter:

Doomberg argues that NEPA is just one manifestation of the broader ‘legal-industrial complex.’ If he's right, will streamlining NEPA meaningfully accelerate clean energy buildout, or will the same forces simply reappear

elsewhere in the permitting and litigation chain?

B) Doomberg vs. Howard:

Howard dreams of cutting red tape and building new institutions Americans can trust. Where Howard dreams of new institutions, Doomberg shows the metastasis of old ones. Not only is red tape strangling capacity, but the lawyerly class has captured government itself. Two of our three branches of government are basically in the litigation business. So ... do we need new institutions, or simply fewer lawyers? How do we get from here to there.

C) Doomberg vs. Wang

After reviewing Doomberg, Potter, Wang, Howard and the NEPA deregulations, how would YOU explain America's infrastructure problem? And do you think it is possible, as Wang hopes, that we can integrate reforms of BOTH environmental regulation and litigation culture while keeping the benefits of having those institutions, and promoting a "Can Do" build society? What is the cost of addressing one but not all of these problems? Is it like an "O-Ring" development problem. Or ultimately, are these ailments merely REFLECTIONS of an underlying cultural and work-ethic malaise that will take far more than the stroke of a pen to correct?

COMPLETING YOUR PUBLIC PIECE

Your Week Three GitHub page should help a reader or listener consider this question: **What would have to change for America to actually build a serious and inspiration new environmental economy. What would be lost or sacrificed if we actually do it?** Provide context.

Give the page a descriptive title, introduce the issue briefly, and embed or clearly link your recording. Then write a **350–500 word synthesis** that develops your own argument.

In that synthesis:

- Use the assigned articles and supplied book material; you are not expected to read the entire books. Where do their explanations reinforce one another, and where do they differ?

- Explain whose incentives or behavior at least one specific institutional change would change and how. Follow at least one consequence beyond the immediate effect.
- Can you think of a major issue or objection? What valuable protection might be weakened? Who might bear a cost that your preferred reform's supporters overlook? Explain how the discussion of institutional trust affects your proposal.
- Identify something your partner said that really moved your thinking. Explain your response and identify an unresolved question or evidence that could change your conclusion.

You do not have to announce that you changed your mind. You do have to show that you examined your argument.

Write this as a connected analysis that a public reader can follow. Link the readings and other sources you use. Put the same synthesis and source links in your Blackboard PDF.

Keep your EETT log and preparatory answers on Blackboard. Your GitHub page should contain the finished public piece.

RESPONSE and/or REVIEW QUESTIONS (Will Not Be Graded, These are For Your Review)

Question #1: Cancer and Risk Data

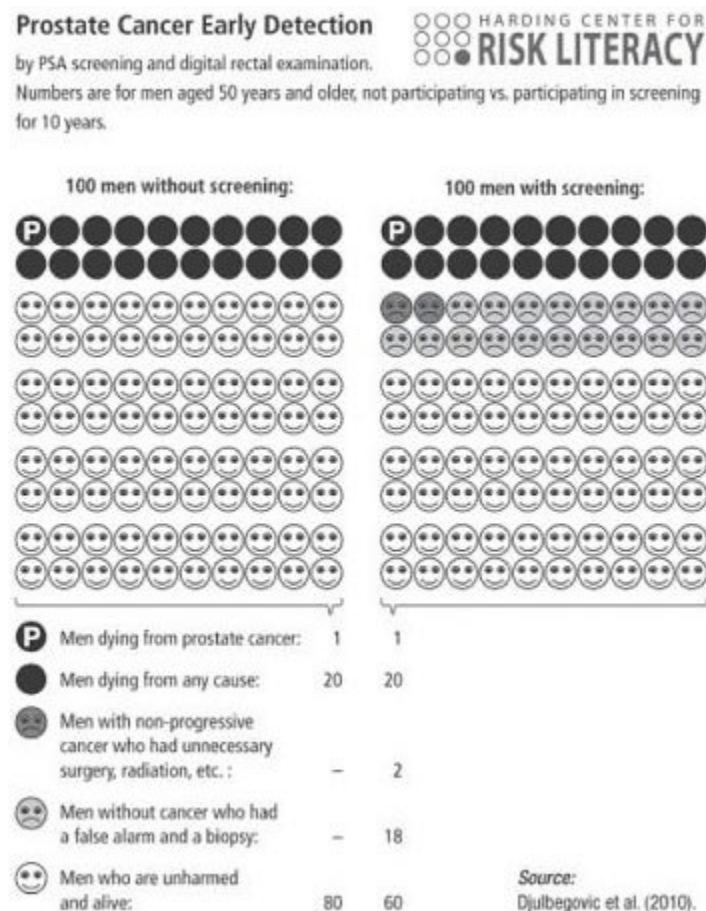
Scientists who study cancer and its causes have a really hard time with attribution – because we are exposed to so many different behaviors and substances over time, and that to the extent that there are links between a suspected hazard and human health, they can occur often only after many long years of delay between initial exposure and the prevalence of disease. With that caveat it seems to be the case that 1/3 to 2/5 of cancers are related to smoking and poor lifestyle and the remaining 3/5 to 2/3 not really well understood, or due to random mutations in our DNA. In addition, to the extent that we have studied environmental impacts on cancer, it is thought that approximately 2% of all cancers are due to environmental factors.

Accept this data as being correct. Thinking back to our discussions of risk, how to properly assess it and how it is often portrayed, describe what would happen

both in the data and likely in popular perception about environmental risk, should cigarette smoking cease tomorrow and that exposure to cancer from smoking drops rapidly to zero. But don't go too fast ... is it possible that some portion of the media portrayal of the changed relative risk is actually reflective of true underlying risks?

Question #2: Flaming Accordians and That What You Can See

The following was included in Gerd Gigerenzer's [excellent book](#), *Risk Savvy*:



Each dot/face in the chart represents 1% of men aged 50 and older.

(a) Is this chart illustration showing measures of absolute risk or relative risk?
Explain why you should care.

(b) Does early screening and detection of prostate cancer reduce the number of people in the population who die from prostate cancer?

(c) What is the difference in health and well-being between those men that obtain screening and those that do not?

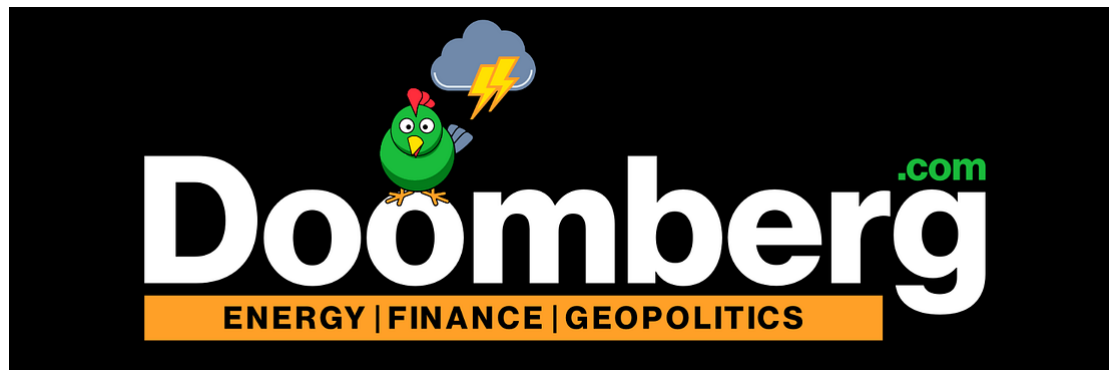
(d) Apply the insights from the case of prostate cancer to how we think of evaluating and “actively treating” an environmental risk of your choosing. Is the analogy apt or not? (Hint: take the case of agricultural chemicals ... do farmers simply dump them on their land and crops for no purpose?)

Question #3: Mmmmm, Donuts

Extra bacon eating causes cancer. Suppose you understand the relative risk perfectly OK and you are worried about the extra cancer you might get. Does it follow that you should not eat bacon?

DEADLINE AND FILES

- Upload the complete Blackboard and Github submission before **6:59pm on Sunday night, September 20th, 2026.**
- Make sure your Blackboard submission, audio, and Github are EASILY accessible for our TAs.
- Please do not try to upload the work at 6:58pm; start that process much earlier. Getting the work submitted on time is to be considered as much a part of the assignment as the questions themselves. If you feel like you may be late in submitting, then use an exemption; do not ask for an extension.



[Label Makers](#)

Lawyers are in the litigation business.

[Doomberg](#)

Jun 5 · Paid



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“Growth for the sake of growth is the ideology of the cancer cell.”—Edward Abbey

In April, Democratic lawmakers in the Colorado House of Representatives pushed [a bill](#) that would have required retail gas station owners to affix a sticker on each of their pumps. Modeled after the warnings on cigarette packages, the message to the state’s drivers was to be stark: burning fossil fuels “*releases air pollutants and greenhouse gases, recognized by the state of Colorado as being linked to significant health impacts and global heating.*” The bill stalled in the Senate, in part because of a proposed amendment by Republicans that would put warning labels on electric vehicle chargers highlighting the use of child labor in battery supply chains.

The state of Colorado is bizarrely seeking to transform itself into California, home to perhaps the most warned population on earth. Companies doing business in the Golden State must deal with the infamous [Proposition 65](#), a ballot measure that passed by a nearly 2-to-1 margin in 1986. Initially intended to warn consumers about the potential presence of genuine toxins and originally limited to a few dozen undeniably dangerous substances, the situation has predictably lost its way.

Because citizens can both advocate for substances to be added to the list and sue companies for failing to properly follow the law, Proposition 65 is now nothing more than a lawsuit mill, with citizen prosecutors—acting as little more than fronts for law firms that

specialize in frivolous exploitation—having filed more than 30,000 cases since inception. This [excerpt](#) is from an investigation published in the *Los Angeles Times* in 2020:

“Companies in every sector of the consumer economy now routinely attach warnings for any of the more than 900 chemicals and elements covered by Proposition 65, without testing for them or attempting to reformulate products. They fear citizen-enforcer lawsuits more than they fear freaking out customers...”

Litigating Proposition 65 enforcement has cost businesses more than \$370 million in settlements since 2000, according to the state. New labeling requirements alone are expected to cost California companies between \$410 million and \$818 million over the next decade, the California Chamber of Commerce estimates.”



For the kids | Wiki Commons

The report goes on to chronicle how approximately three-quarters of the settlements went to pay attorneys' fees.

As President Trump grapples with a seemingly endless array of national temporary restraining orders (TROs) issued against his policies by obscure district court judges (predominantly appointed by his political opponents), the general public is getting a high-profile opportunity to observe a phenomenon that business leaders are all too familiar with. The US may have been founded on the concept of three co-equal branches of government, but the judiciary—and the legal profession more broadly—has steadily claimed for itself powers over the everyday lives of citizens that are wildly out of proportion.



Our robed overlords | Getty

A constitutional crisis in the US may seem both imminent and inevitable, but the impact is likely to be far broader than the political sphere. The upcoming clash presents a generational opportunity to cleanse the system of a glut of rent-seekers who are severely impeding innovation and industry. The numbers are astounding, so let's unpack them with a few prominent examples.



For a sense of just how far the judicial cancer has spread throughout its host, consider the following remarkable statistics. Each year, the US produces [35,000 new law graduates](#) from its institutions of higher learning. It is estimated that there are approximately [1.3 million](#) practicing lawyers in the country, some [400,000](#) of whom are members of the American Bar Association. A randomly selected sitting member of Congress is 80 times more likely to be a lawyer than someone from the general population. Since virtually all judges are lawyers, this effectively means that two of the three “co-equal” branches of government are directly in the litigation business. The revolving door between those branches and the private sector that feeds on their largesse spins without friction.

By way of stark contrast, the US—despite being the world's dominant energy superpower—produces barely [600 petroleum engineers](#) each year, many of whom are foreign nationals. Yale Law School alone graduates over 200 students annually.



Metastasis in action | Yale

For an urgent example of how laws meant to encourage innovation get corrupted by the legal class, we turn to intellectual property “protection” in the US. To the layperson, the system may appear simple and fair: invent something useful, file a patent protecting that invention, and then enjoy the benefits of your work until the patent expires. The reality could not be more different. A granted patent does not give the inventor the right to practice their invention—it merely allows them to sue others to stop infringement. In other words, a patent is only as strong as your willingness and resources to enforce it in court. Mix in a country bursting at the seams with litigators, and [here’s what happens](#):

“Patent trolls—entities that hoard patents, not to innovate but to litigate—are at it again. This time, a company called Freedom Patents has launched a fresh wave of litigation complaints targeting technology companies including T-Mobile, Samsung and Cisco...

Freedom Patents exemplifies the ‘patent assertion entity’ model, where companies exist solely to acquire patents and file infringement lawsuits. The complexity of smartphones, which can contain around 250,000 patents, makes them a prime target for patent trolls.

These claims are filed in the Eastern District of Texas, which is infamous for being friendly to patent trolls who want to exploit the legal system for profit. At its peak, this court heard 40 percent of all patent cases in America.”

The US Patent Office grants approximately [350,000 new patents](#) per year, each one representing little more than an opening salvo in a future lawsuit. There are so many overlapping claims across virtually every economically important activity in the country that it is impossible to believe more than a tiny fraction of these patents are truly novel. Think someone has filed a patent that overlaps with one you already hold? You guessed it: see you in court.



Front of the funnel | Getty

Revitalizing America's manufacturing prowess will not be for the faint of heart. Assuming an aspiring manufacturer survives the patent troll gauntlet and breaks ground on a new facility, it must next confront the nexus of environmental non-profits, the law firms that serve as their fronts, and their allies embedded within the government bureaucracy. The number of agency approvals required to accomplish anything meaningful borders on the bewildering, and each regulatory decision is vulnerable to litigation. So [perverse](#) is the current system that the government actually pays non-profits to sue it:

"In the United States, federal agencies will pay you to sue them. Or, more precisely, they will cover your attorney's fees and other litigation expenses if you win your case and satisfy certain eligibility criteria. Such is the mandate of the Equal Access to Justice Act, a paradoxically named law passed by Congress in 1980.

The name is paradoxical because the Equal Access to Justice Act (EAJA) only applies to a subset of all plaintiffs, namely, tax-exempt organizations and plaintiffs whose net worth falls below certain categorical thresholds. All other plaintiffs must pay their own attorney's fees regardless of the litigation's outcome."

The same year that Congress passed the EAJA, it also codified into law the [Alaska National Interest Lands Conservation Act \(ANILCA\)](#), a bill intended to balance the preservation of Alaska's natural environment with the state's desire to develop resources for the economic benefit of its citizens. One project specifically approved by Congress was the infamous Ambler Road, a proposed 211-mile industrial route in northern Alaska meant to support local mining ambitions. As we covered in "[Road Kill](#)" last June, the project has remained tied up in litigation for the intervening 45 years, and no construction has begun as of this writing. Even explicit instructions from Congress, backed by executive orders from the sitting president, have proven insufficient to overcome the whims of local judges.



Stuck on the drawing board | Friends of the Brooks Range

Perhaps recognizing that things have gotten out of hand, the US Supreme Court weighed in with a relevant decision last week. The Court ruled—unanimously, we might add—that regulators have been substantially abusing the [National Environmental Policy Act](#) (NEPA) to bring projects such as Ambler Road to a grinding halt. At issue in the case was an 88-mile railroad project in Utah that had similarly been stuck in legal limbo for years after its 3,600-page NEPA environmental review was rejected by the D.C. Circuit Court of Appeals. The lower court claimed the review was insufficient because it allegedly failed to analyze various hypothetical future climate impacts that might result from activities the railroad could potentially enable. The *Wall Street Journal* takes [the story](#) from there:

“The Supreme Court faults that decision. ‘The central principle of judicial review in NEPA cases is deference,’ Justice Kavanaugh says. ‘Under NEPA, an agency’s only obligation is to prepare an adequate report.’ The regulators overseeing the proposed project, he adds, are ‘better equipped to assess what facts are relevant to the agency’s own decision than a court is.’

Justice Kavanaugh adds that nothing in NEPA requires the Surface Transportation Board to study ‘upstream or downstream projects separate in time or place from the 88-mile railroad line’s construction and operation.’ Different projects are, well, different. Also, agencies don’t need to ‘analyze the effects of projects over which they do not exercise regulatory authority.’”

How regulators respond to the ruling, and how quickly the army of environmental justice lawyers find other suitable means of blocking progress, remains to be seen.

Whatever your views on Trump and his policies, the wave of clearly partisan injunctions aimed at usurping his executive powers may finally trigger a long-overdue conversation in this country about the proper role and limits of the legal industrial complex. Substantial reform is urgently required to address a need long evident to those seeking to deploy risk capital across the economy. Far from fearing a constitutional crisis, count us among those who would welcome one. One way or the other, something has to give

ⁱ If you are interested in some nitty gritty readings on permitting reform, I took this from a colleague's reading list:

Core Reading on Permitting Reform:

National Environmental Policy Act (NEPA):

- [“How to Stop Environmental Review from Harming the Environment,”](#) Potter, Datta & Stapp (2022)
- [“How NEPA Will Tax Clean Energy,”](#) Mackenzie (2024)
- [“NEPA Litigation Over Large Energy and Transport Infrastructure Projects,”](#) Bennon & Wilson (2023)
- [“Getting Infrastructure Built: The Law and Economics of Permitting,”](#) Liscow (2024)
- [“Much More Than You Ever Wanted To Know About NEPA,”](#) Dourado (2022)
- [“A Cheat Sheet for NEPA Judicial Reform,”](#) Datta & Mackenzie (2024)

Endangered Species Act (ESA):

- [“A Field Guide for Wildlife Recovery,”](#) Downey et al. (2023)
- [“Testimony Regarding ESA Consultation Impediments...”](#) Wood (2017)

Clean Air Act:

- [“New Source Review Under the Clean Air Act: Ripe for Reform,”](#) Gruenspecht & Stavins (2002)
- [“EPA's New Source Review Program: Time for Reform?,”](#) Fraas, Graham, and Holmstead (2017)
- [“It's Not Just NEPA: Reforming Environmental Permitting,”](#) Hochman (2023)

Clean Water Act:

- [“Consequences of the Clean Water Act and the Demand for Water Quality,”](#) Keiser & Shapiro (2017)
- (haven't really come across anything else...)

General:

- [“Reforming Permitting,”](#) Davies et al. (2001)
- [“The State Permitting Playbook,”](#) Hochman (2024)

Theory:

- [“Kludgeocracy in America,”](#) Teles (2023)
- [“The Procedure Fetish,”](#) Bagley (2021)